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Solution

In the books of M/s. Lavanya and sons

Dr. **Trading account for the year ended 31st March, 2017** **Cr.**

Particulars	`	`	Particulars	`	`
To Opening stock		16,500	By Sales	72,000	
To Purchases	45,000		Less: Sales returns	1,500	70,500
Less: Purchases returns	500	44,500	By Closing stock		18,000
To Carriage inwards		1,200			
To Wages		4,800			
To Fuel and power		3,200			
To Gross profit c/d*		**18,300**			
		88,500			88,500

Illustration 3

Prepare trading account for the year ended 31st December, 2017, from the following balances:

Particulars	`	Particulars	`
Opening stock	4,00,000	Purchases returns	1,20,000
Purchases	20,00,000	Carriage on purchases	2,00,000
Net sales	48,00,000	Carriage on sales	1,00,000
Freight and octroi	65,000	Advertisement	1,20,000
Selling expenses	1,10,000	Office rent	75,000
Coal, gas and water	22,000	Import duty on goods purchased	7,28,000

Closing stock is valued at ` 6, 00,000.

Solution

Dr. **Trading account for the year ended 31st December, 2017** **Cr.**

Particulars	`	`	Particulars	`	`
To Opening stock		4,00,000	By Net sales		48,00,000
To Purchases	20,00,000		By Closing stock		6,00,000
Less: Purchases returns	1,20,000	18,80,000			
To Freight and Octroi		65,000			
To Carriage on purchases		2,00,000			
To Coal, gas and water		22,000			
To Import duty		7,28,000			
To Gross Profit c/d		**21,05,000**			
		54,00,000			54,00,000

Note: Selling expenses, carriage on sales, advertisement and office rent will not appear in trading account, as they are indirect expenses.